Practice workbook · Total cost from fixed and variable costs

Building or decomposing total cost: TC = TFC + AVC x Q, or finding TFC or TVC as TC minus the other component.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-07

1. Question 1 · part f · 2 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part f only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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1. Question 1 · part f · 2 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part f only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit.
It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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1. Question 1 · part f · 2 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for smartphones following a rise in the cost of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

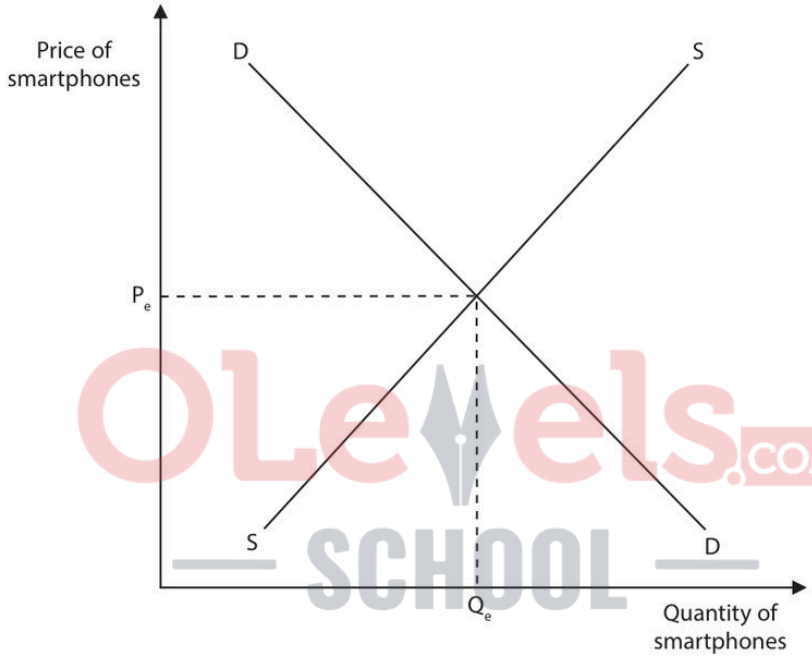


Figure 1

The New Zealand Government is to introduce new legislation to limit the interest rate firms can charge on loans made to customers. The maximum interest rate firms can charge will be 0.8% per day.

(h) Explain **one** reason why the New Zealand Government may be introducing this legislation.

(3)

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4

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1. Question 1 · part f · 2 marks · Working and answer

Working and answer

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2. Question 1 · part b · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part b · 1 mark · Working and answer

Working and answer

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3. Question 1 · part b · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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3. Question 1 · part b · 1 mark · Working and answer

Working and answer

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4. Question 1 · part b · 1 mark

2020 JAN · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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4. Question 1 · part b · 1 mark · Working and answer

Working and answer

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5. Question 2 · part d · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	−1.5
☒	**B**	**X**	−1
☒	**C**	**Y**	−0.5
☒	**D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

5. Question 2 · part d · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part d only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit.
It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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5. Question 2 · part d · 2 marks · Working and answer

Working and answer

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6. Question 2 · part d · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

2

Chart to show market share held by firms within a market

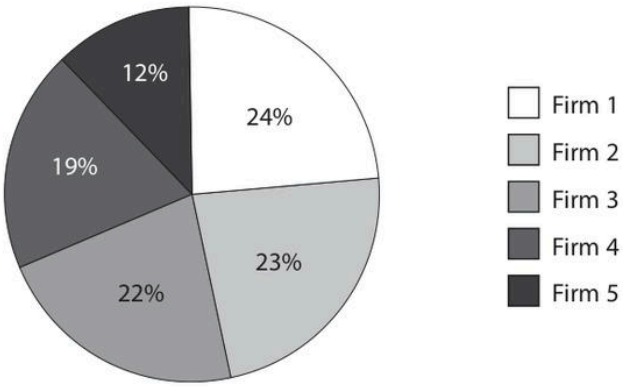


Figure 2

(a) Which **one** of the following options is the type of market shown in Figure 2?

(1)

- ☒ **A** Labour
- ☒ **B** Public
- ☒ **C** Monopoly
- ☒ **D** Oligopoly

(b) An increase in which **one** of the following is most likely to increase productivity?

(1)

- ☒ **A** Bureaucracy
- ☒ **B** Congestion
- ☒ **C** Irrigation
- ☒ **D** Regulation

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6. Question 2 · part d · 2 marks

2023 JAN · Paper 01

Further practice · Attempt part d only.

(c) What is meant by the term barriers to entry?

(2)

A firm has total fixed costs of $57 000 per month and variable costs of $750 per unit. It produces 1,820 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Describe **one** disadvantage for a government of using subsidies.

(2)

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6. Question 2 · part d · 2 marks · Working and answer

Working and answer

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7. Question 1 · part b · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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7. Question 1 · part b · 1 mark · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

4 Figure 3 shows the daily costs of hiring a vehicle to transport goods to a customer.

Vehicle hire cost ($ per day)	Fuel cost ($ per km)	Distance travelled (km)	Cost of insurance ($ per day)
90	0.25	65	20

Figure 3

(a) Calculate the **daily total costs** of transporting the goods to the customer. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part a only.

MAS Supermarkets is the largest supermarket chain in Cyprus. It owns many shops across the country, selling a wide range of groceries. The firm states that its focus is on selling quality products, offering good service and low prices.

(b) With reference to the data above and your knowledge of economics, analyse how internal economies of scale may lead to benefits for MAS Supermarkets.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 1 · part f · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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P 7 2 1 3 2 A 0 2 2 4

9. Question 1 · part f · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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9. Question 1 · part f · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part f only.

Figure 1 shows the market for cars.

(g) Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

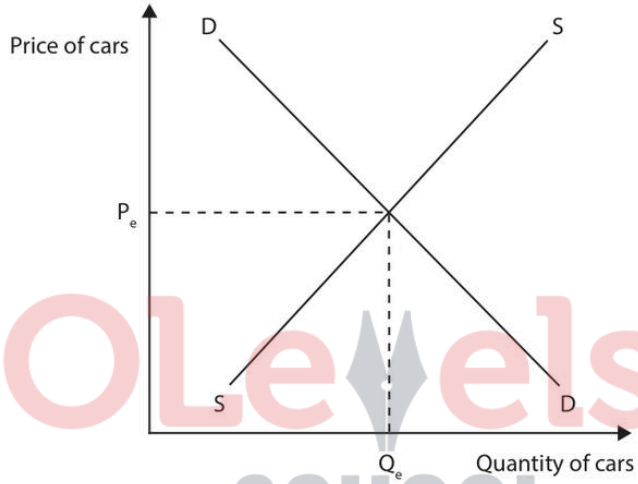


Figure 1

In April 2023, the Competition and Markets Authority (CMA), the competition regulator in the UK, prevented the purchase of Activision by Microsoft. Microsoft already controlled about 60–70% of the market for online video gaming.

(h) Explain **one** reason why the CMA may have made this decision.

(3)

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9. Question 1 · part f · 2 marks · Working and answer

Working and answer

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